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India | Equity Strategy

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India Budget FY27 Flash: Key Highlights

STRATEGY NOTE

FY27 Budget moderates fiscal deficit reduction, implying higher govt spending. Govt. focus on ease of doing business visible for GCCs & other corporate and individual taxpayers. Robust capex growth (especially in Defence) is a positive. Slightly higher deficit (10–15 bps above expectations) may pressure yields, a negative for NBFCs/PSU banks. Data centres & Electronics manufactring gets a tax & Govt budget boost; higher STT -a negative for capital market plays.

Key takeaways from the budget:

- FY27 fiscal deficit targeted at 4.3% of GDP (vs FY26 fiscal deficit of 4.4% of GDP) – a small 10bps reduction. This is lower reduction that 20-25bps reduction expected by the market.
- Over the last 3 years, Govt has reduced fiscal deficit by 210bps cumulatively (40bps in FY26). So Govt drag on GDP growth goes down in FY27. Central Govt debt to GDP goes down by 50bps to 55.6% by Mar'27. Mar'31 target is 50% (with 1 ppt deviation) implies sharper debt reduction in future years.
- Higher fiscal deficit (+Rs1.4Trn YoY) might drive bond yields higher – a negative for NBFCs and PSU Banks.
- Govt capex spend is projected to grow by 11% in FY27 (4% for FY26). Defense capex is slated to grow by 17% (16% in FY26). Roads & Railways capex is projected to grow by 8% and 11% respectively – a positive. This can be a positive for L&T, BEL, Cement cos etc.
- Disinvestment proceeds have been budgeted at Rs800bn, >2x YoY. This could include IDBI bank divestment but also imply listed PSU stake sales at accelerated pace.
- A big boost given to the data centre business by offering a 20-year tax exemption for the cloud service providers (or tenants). Data centre infra owners were given a 20-year exemption earlier in Sep'25 itself. Could be a trigger for DC developer like Lodha.
- Mobile PLI not extended (-ve Dixon) but increased budget allocation for electronics component manufacturers (Rs400bn vs 229bn) – a positive for electronics manufacturing in India. Positive plays include Amber, Syrma.
- Several procedural issues being simplified. This includes simpler taxation for GCCs (global capability centres) through higher safe harbor limits (+ve office REITs), multiple steps for easier tax administration for individual payers etc.
- Increased in STT (Securities Transaction Tax) on futures & options would try and curb speculation further. This would be a -ve for capital market plays like brokers & exchanges. -ve for BSE and Groww.
- UPI/ Rupay Incentive hike is positive for Paytm & Payments companies.
- Change in taxation of Buybacks reduces tax incidence on promoters and minority shareholders. This is likely to take up yields marginally (15-20bps) which is a positive for IT cos which see large buybacks.

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Exhibit 1 - Key Budget highlights

Particulars	FY25 (A)	FY26 (RE)	FY27 (BE)	FY25 [A]	FY26 [RE]	FY27 [BE]
Revenues	**Rs bn**	**Rs bn**	**Rs bn**	**%YoY**	**%YoY**	**%YoY**
Gross tax revenue	**37,964**	**40,778**	**44,041**	**9.7**	**7.4**	**8.0**
Corporate tax	9,868	11,090	12,310	8.3	12.4	11.0
Income tax	12,352	13,120	14,660	18.2	6.2	11.7
Excise duty	3,003	3,366	3,889	(1.7)	12.1	15.6
Customs duty	2,332	2,583	2,712	0.0	10.8	5.0
GST	10,270	10,465	10,190	7.3	1.9	(2.6)
CGST	9,090	9,585	10,190	10.8	5.4	6.3
IGST	-325	0	0	nm	nm	nm
GST compensation cess	1,506	880	0	6.5	(41.6)	(100.0)
Taxes of Union Territories	95	96	103	3.1	1.0	6.6
Other taxes	44	58	177	940.5	31.8	203.6
Devolvement to States/UTs	**12,869**	**13,930**	**15,263**	**13.9**	**8.2**	**9.6**
Surcharge for NCCF	95	101	109	7.8	7.2	7.6
Net tax revenues (1)	**25,000**	**26,747**	**28,669**	**7.6**	**7.0**	**7.2**
Non tax revenues (2)	**5,366**	**6,677**	**6,662**	**33.5**	**24.4**	**(0.2)**
Dividend and profits	3,084	3,756	3,910	80.5	21.8	4.1
Other Non-tax revenues	2,282	2,921	2,752	(1.2)	28.0	(5.8)
Interest	404	402	418	5.7	(0.7)	4.0
External grants	7	16	23	(32.2)	138.6	42.0
UT receipts	28	18	18	(7.8)	(36.1)	(2.3)
Others	1,842	2,485	2,294	(2.3)	34.9	(7.7)
Net revenue receipts (1+2)	**30,366**	**33,423**	**35,331**	**11.5**	**10.1**	**5.7**
Non-debt capital receipts (3)	**418**	**640**	**1,184**	**(30.0)**	**53.1**	**84.9**
Recovery of loans	246	302	384	(7.6)	22.6	27.2
Disinvestment & other asset sale receipts	172	338	800	(48.1)	96.7	136.4
Total Revenues (1+2+3)	**30,784**	**34,064**	**36,515**	**10.6**	**10.7**	**7.2**
Expenditure						
Total expenditure	**46,529**	**49,648**	**53,473**	**4.7**	**6.7**	**7.7**
Revenue account	**36,009**	**38,691**	**41,255**	**3.1**	**7.4**	**6.6**
Interest payments	11,156	12,743	14,040	4.9	14.2	10.2
Subsidies	3,850	4,297	4,105	61.6	11.6	(4.5)
GST compensation	1,525	203	25	3.9	(86.7)	(87.6)
Others	19,478	21,447	23,085	(4.8)	10.1	7.6
Capital account	**10,520**	**10,958**	**12,218**	**10.8**	**4.2**	**11.5**
Capital expenditure - Defence	1,706	1,974	2,310	10.6	15.7	17.0
Capital expenditure - Non-defence	8,813	8,983	9,908	10.9	1.9	10.3
Fiscal Balance						
Fiscal deficit	15,744	15,585	16,958	(5.1)	(1.0)	8.8
Fiscal deficit as a % of GDP	**4.8**	**4.4**	**4.3**			
Nominal GDP	330,681	357,139	393,004	12.0	8.0	10.0

Source: Budget documents, Jefferies

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Consumer:

- **Status quo on tobacco**: There was no specific announcement on tobacco taxes in the budget. There were some expectations that NCCD may see a change or even discontinuation, but there has been no change. Hence, the cigarette taxes announced earlier (31st Dec-25) will be effective from tonight (2-Feb). We need to watch out for price hikes from ITC to pass on this significant tax impact. Based on our calculations, ITC needs to take price increases of over 40% to pass on effective tax hike, including the cascading impact.
- **Gold:** Custom duty on gold was unchanged at 6% (5% Basic Custom Duty and 1% Agriculture Cess). Given that there were some expectations of a potential duty hike (per media articles) due to the sharp rise in gold price, the status quo comes as a relief. This has come at the time when gold prices have corrected sharply which improves demand outlook for jewellery stocks like Titan.
- **Textiles:** FM announced integrated programme with Rs15bn allocation in FY27E which focuses on self-reliance, cluster modernisation, sustainable products, and upskilling, along with a proposal for Mega Textile Parks for value addition in technical textiles. This should be a mild positive for textile stocks.

Financial sector: Banks/ NBFCs/ Insurance/ Exchange

- **UPI/ Rupay Incentive hike is positive for Paytm & Payments companies:** The Incentive amount for FY26 (RE) has been raised to Rs22bn vs. BE of Rs4.4bn and Rs19bn for FY25. For FY27, the BE amount is currently set at Rs20bn. Near-term positive for Paytm and other payments companies. In FY25, Paytm received Rs0.7, for UPI incentives and we have factored in Rs0.84m for FY26e so the hike in budget pool improves certainty of UPI incentive for the year.

- **Banks:** For PSU banks, there were expectations of announcement around M&A as well as hike in FDI limit from 20%. Since the budget hasn't touched those topics it may be seen sentimentally negative. Our recent report talked about potential mergers & investment limit change: India Fins' Landscape To Evolve with Strategic Investments, M&A & Mgt Rejigs

- **Life insurance sector:** While we had expected a possibility of hike in tax-exemption for investment in non-Ulip products (from Rs0.5m per annum now) to allow deepening of long-term bond markets, no such incentive has been announced in the budget. However, our conversations with industry players indicate that such changes can help to achieve Government's objective to deepen the bond market. Link to recent report: **Govt's Push To Deepen LT Bond Mkt Can Benefit LIs If Tax on Non-Ulip Is Eased**

- **Capital Markets:**

    - The Government has hiked STT on options and futures in the budget. In our view, this as a sentimental negative, however, impact on option/futures turnover is likely to be limited noting a similar increase in overall expenses in Jul'24 budget had limited impact on orders or participation. Our discussions with industry experts indicate up to 5% volume impact. We est. a 5% decline in ADTO/orders for BSE/GROWW could result in 4% earnings impact.

    - Investment threshold for Persons Resident Outside India (PROI) has been proposed to be raised from 5% to 10% for equities and from 10% to 24% on an aggregate basis under the Portfolio Investment Scheme (PIS) - should be seen positively for wealth managers and AMCs.

Capital goods and Power Utilities

- Capex (BE vs RE) is up 13% YoY adj. for the BSNL infusion and DEA spend which has largely remained underutilized. Core capex of roads/rail up 8-11% and defence up 17%. Positive for

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capex plays like L&T, Cummins, ABB, Siemens, Thermax, BEL, HAL, Data Patterns and also power companies such as JSW Energy, NTPC among others as should help power demand.

Energy/Renewables:

- Budgeted subsidy for solar rooftop and solar pumps (KUSUM) raised to Rs 270bn in FY27 from Rs 220bn in FY26. The increase is, however, lower than expectation. Cell-backed solar module makers like Emmvee and Waaree Energies will benefit.
- Excise duty on petrol and diesel left unchanged. Major concern on OMC profitability recedes.

Cement:

- Capex budget for FY27 at Rs12.2Trn, +9% YoY on FY26 Budget Estimate and +11-12% on FY26 Revised Estimate numbers.
- For PMAY Low Cost housing schemes, FY26 Revised Estimate is 48% lower versus the original FY26 Budget estimate on back of 41-67% lower in Rural/Urban numbers. For FY27, Budget Estimate is 90% higher vs FY26 Revised Estimate on 69-177% increase in Rural-Urban.
- FY27 Budget estimate for new MGNREGA scheme (i.e. Gramin) at Rs957bn + existent MGNREGA allocation at Rs300bn. Cumulative allocation of Rs1.26tn is higher 46% YoY. FY26 Revised estimate is largely in line with original FY26 Budget estimate for MGNREGA.
- Road Capital expenditure is higher 5% YoY. PM Rural road scheme allocation is higher 73% YoY on FY26RE.
- Railways Budget is higher 10% YoY. Metros Budget is higher 5% on FY26RE.

Building Materials, EMS, and consumer durables:

- **Electronic Components Manufacturing Scheme (ECMS)**: Outlay is increased to Rs400bn from Rs229bn earlier (+75%). Allocation towards ECMS in FY27 BE stands at Rs15bn (FY26 RE Rs68mn). Scheme was announced in Apr25, with application window open from May25.
- **Mobile PLI:** Allocation for Large Scale Electronics Manufacturing PLI lowered by -81% from Rs69.6bn FY26RE (Rs88.85bn BE in FY26 budget) to Rs13.45bn in FY27 BE. There is no word on extension of Mobile PLI in the Budget speech.
- **Stock Picks:** We prefer Component (backward integration) plays (AMBER, SYRMA) vs prescriptive OEM (DIXON).

Data centers - Policies to create demand for data centers in India

- The tax holiday for overseas cloud service providers will incentivize them to expand their set up in India. Hyperscalers (Microsoft, Amazon, Google) occupy 60-65% of India Data center capacity and the primary tenants. The move will help drive up demand for Indian Data Centers and fuel capacity expansion in the industry. Besides data center operators and capex beneficiaries (power equipment, cooling system providers, real estate players) will also be second order beneficiaries.

Real Estate and Housing

- Tax benefis for Datacenters (+ve Lodha) and safe harbor policies boost for GCCs (+ REITs) are key beneficiaries.
- If bond yields move up on the back of higher fiscal deficit, negative for Real Estate cos.

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IT servcies - Lower taxation on buyback – A slight positive

- Change in taxation of Buybacks reduces tax incidence on promoters and minority shareholders. This is likely to take up yields marginally (15-20bps) which is a positive

Buyback tax for list cos. & shareholders		Prior to July 2019	July 2019 - September 2024	October 2024 - March 2026	Budget 2026 (April 2026 onwards)
Promoter	Corporate	LTCG - 10% tax rate STCG - 15% tax rate	Exempt (paid by company @~23%)	Corporate tax rate @~25%	22% effective tax rate
	Non corporate	LTCG - 10% tax rate STCG - 15% tax rate	Exempt (paid by company @~23%)	Slab rates	30% effective tax rate
Non-promoter	Corporate	LTCG - 10% tax rate STCG - 15% tax rate	Exempt (paid by company @~23%)	Corporate tax rate @~25%	LTCG - 12.5% tax rate STCG - 20% tax rate
	Non corporate	LTCG - 10% tax rate STCG - 15% tax rate	Exempt (paid by company @~23%)	Slab rates	LTCG - 12.5% tax rate STCG - 20% tax rate

Telecom

- **Actual receipts lower than revised estimates in FY25**: The government's actual collections from communications services in FY25 was lower by 32% at US$9.2bn, vs. the revised estimate of US$13.4bn. This was primarily due to lower-than-budgeted capital infusion in BSNL by the Govt. in FY25. Our analysis suggests that spectrum payments formed over 43% of government's collections from communications in FY25.
- **FY26 receipts revised upwards by 71%; 5% of which is from BSNL and is non-cash**: The government has raised its expectations of communication receipts in FY26 by 71% from US $9bn to US$15.3bn. Consequently, it appears the government expects a 66% YoY growth in communications receipts in FY26.
    - Per our analysis, only 40% of FY26 revised estimates will be from License fee, spectrum usage charge and deferred spectrum and AGR payments. Even after accounting for BSNL's capital infusion, we can't account for US$8.5bn.
- **FY27 receipts to fall by 17% YoY; No auction in FY27:** The government expects communication receipts in FY27 to be down 17% YoY to US$12.7bn. While 60% of this is attributable to AGR payments, deferred spectrum payments, license fee and SUC. The remaining US$5bn is partly attributable to BSNL's capital infusion (c. US$3bn).
    - However, we do note that the Govt. will infuse US$3bn capital into BSNL in FY27. The spectrum component of this is not known. If this is being included in the communication receipts, then it could imply that the Govt. is budgeting for no auctions in FY27 which is a slight positive for telcos.

Pharma & Healthcare

- Biopharma SHAKTI scheme was proposed with an outlay of INR100bn over the next 5 years. This will build the ecosystem for domestic production of biologics and biosimilars.
- The Strategy will include a Biopharma-focused network with 3 new National Institutes of Pharmaceutical Education and Research (NIPER) and upgrading 7 existing ones. It will also create a network of over 1,000 accredited India Clinical Trials sites. Central Drugs Standard Control Organization (CDSCO) is proposed to be strengthened to meet global standards and approval timeframes through a dedicated scientific review cadre and specialists.
- Boost for Medical Tourism-Proposed a scheme to support states in establishing five Regional Medical Hubs, in partnership with the private sector. These hubs will serve as integrated healthcare complexes that combine medical, educational and research facilities.
- Proposed to exempt basic customs duty on 17 drugs or medicines and to add 7 more rare diseases for the purposes of exempting import duties on personal imports of drugs, medicines and Food for Special Medical Purposes (FSMP) used in their treatment.
- Budgetary allocation for Family and Health Ministry increased to INR1,065bn [+10% vs FY26RE of INR969bn]
- Ayushman Bharat allocation increased to INR95bn [+5.6% vs FY26RE of INR90bn]

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Travel:

- A National Institute of Hospitality is proposed by upgrading the existing National Council for Hotel Management and Catering Technology (NCHMCT).
- A pilot scheme is proposed to upskill 10,000 tourist guides across 20 iconic tourist sites.
- National Destination Digital Knowledge Grid will be established to digitally document all places of spiritual, cultural, and heritage significance – this will create new ecosystem of jobs, content creators and tech partners.
- India will offer world-class trekking and hiking experiences while ensuring economically sustainable mountain tourism. Focus regions include Himachal Pradesh, Uttarakhand, J&K, and parts of Eastern/Western India. Turtle trails will be developed in Coastal areas of Odisha, Kerala, further Bird watching trails will see development in parts of AP, TN.
- India is hosting the first-ever Global Big Cats Summit this year. Heads of state, ministers, and delegates from 95 range countries will deliberate on conservation, heritage, and cultural strategies.
- India has over 15 prominent archaeological sites that will be transformed into vibrant experiential cultural destinations.
- Scheme to promote medical tourism and to develop 5 regional hubs.
- Launch of Buddhist Circles and development of 5 tourism destination in North East States

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